



Consolidated Financial Statements
June 30, 2025
(Unaudited)

Confidential




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Consolidated Statement of Assets and Liabilities
as of June 30, 2025
(Unaudited)

(In thousands)

Assets:

Investment at fair value (cost \$271,357).....	\$	290,739
Cash and cash equivalents.....		927
Total assets.....		<u>291,666</u>

Liabilities:

Accrued expenses and other liabilities.....		557
Management fees payable.....		73
Total liabilities.....		<u>630</u>

Commitments and contingencies (Note 2)

Net assets.....	\$	<u>291,036</u>
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Consolidated Statement of Operations

For the period from June 12, 2025 (Commencement of Operations) through June 30, 2025
(Unaudited)

(In thousands)

Investment loss:

Expenses:

Organizational costs.....	\$	400
Professional fees.....		157
Management fees.....		73
Total expenses.....		<u>630</u>
Net investment loss.....		<u>(630)</u>

**Net realized gain/(loss) and change in unrealized appreciation/
(depreciation) on investment:**

Net change in unrealized appreciation on investment.....		<u>19,382</u>
Net realized gain/(loss) and change in unrealized appreciation on investment.....		<u>19,382</u>
Net income.....	\$	<u><u>18,752</u></u>

Consolidated Statement of Changes in Members' Capital
(Unaudited)

(In thousands)

	Non-Affiliated Member	Operator	Total
Members' committed capital.....	\$ 300,000	\$ 1,508	\$ 301,508
June 12, 2025* through June 30, 2025			
Contributions.....	\$ 270,923	\$ 1,361	\$ 272,284
Allocation of net income (loss).....	18,658	94	18,752
Potential incentive allocation to the Operator.....	(1,759)	1,759	-
Members' capital at June 30, 2025, net of potential incentive allocation to the Operator.....	\$ 287,822	\$ 3,214	\$ 291,036

* Commencement of operations.

Consolidated Statement of Cash Flows

For the period from June 12, 2025 (Commencement of Operations) through June 30, 2025
(Unaudited)

(In thousands)

Cash flows used in operating activities:

Net income.....	\$	18,752
Adjustments to reconcile to net cash used in operating activities-		
Purchases of investment.....		(271,357)
Net change in unrealized appreciation on investment.....		(19,382)
Changes in operating assets and liabilities:		
Increase in accrued expenses and other liabilities.....		557
Increase in management fee payable.....		73
		<u>73</u>
Net cash used in operating activities.....		<u>(271,357)</u>

Cash flows provided by financing activities:

Contributions.....		272,284
Net cash provided by financing activities.....		<u>272,284</u>
Total increase in cash and cash equivalents.....		927
Cash and cash equivalents at beginning of period.....		<u>-</u>
Cash and cash equivalents at end of period.....	\$	<u><u>927</u></u>

Notes to Consolidated Financial Statements
June 30, 2025
(Amounts in thousands)
(Unaudited)

Note 1 – Organization:

██████████ (the “Company”) was formed on June 2, 2025 as a Delaware limited liability company and commenced operations on June 12, 2025. The primary objective of the Company is to invest in Watco Companies, LLC.

The Company’s Amended and Restated Operating Agreement, dated June 10, 2025 (as it may be further amended or restated from time to time thereafter, the “Operating Agreement”), was entered into by ██████████ Holdings, LP, a Delaware limited partnership, as the Operator of the Company (the “Operator”), and the Member of the Company. The Company appointed the Operator, a Delaware limited partnership, as its Manager to provide portfolio management and administrative services pursuant to a Management Agreement, dated as of June 2, 2025, (as amended or restated from time to time, the “Management Agreement”). Subject to the terms of the Management Agreement, the Operator has discretionary authority to make decisions with respect to the investment of the Company and to manage the operations of the Company.

As of June 30, 2025, the Member of the Company committed total capital of \$300,000, of which \$270,923, or 90.3% of committed capital, had been drawn. The Operator committed total capital of \$1,508, of which \$1,361, or 90.3% of committed capital, had been drawn. One member represents 99.5% of committed capital.

The Manager may request the Members to make additional capital contributions in compliance with the Agreement. Except as approved by the Manager and the Members, the additional capital contributions will be provided by the Members in proportion to their respective percentage interests.

As of June 30, 2025, one investor in the Company owns 100.0% of the Member interests.

The term of the Company shall continue until the earlier of: (a) ten years from the date that the Company commenced operations, subject to an unlimited number of five year extension options, each exercised by unanimous approval; and (b) when the Company is dissolved pursuant to the Operating Agreement.

Notes to Consolidated Financial Statements

June 30, 2025

(Amounts in thousands)

(Unaudited)

Note 2 – Commitments and Contingencies:

In the normal course of business, the Company enters into contracts that contain a variety of representations and warranties and which provide general indemnifications. The Company's maximum exposure under these arrangements is unknown, as this would involve future claims that may be made against the Fund that have not yet occurred. However, based on experience, the Fund expects the risk of loss to be remote.

The Company may be a party to certain credit agreements, providing for the issuance of letters of credit and revolving loans, which may require the Company to extend additional loans to investee companies. The Company uses the same investment criteria in making these unrecorded commitments as it does for investments, which are included in the consolidated statement of assets and liabilities. The unfunded liability associated with these credit agreements is equal to the amount by which the contractual loan commitment exceeds the sum of the amount of funded debt and cash held in escrow, if any. As of June 30, 2025, the Company had no outstanding debt commitments.

As of June 30, 2025, the Company had no potential unfunded equity investment commitments.

Investment Manager

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